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reviewed by ACCA's examining team



Foundations in Accountancy FFA/ACCA F3

Financial Accounting – F3.1

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Key to icons



Syllabus



Case study



Technical content



Real world example



Question to consider



Diagram



Answer



Key concept



Past exam question



Tackling the exam



Answer to past exam
question



Summary



Syllabus

- A The context and purpose of financial reporting
- B The qualitative characteristics of financial information
- C The use of double entry and accounting systems
- D Recording transactions and events
- E Preparing a trial balance
- F Preparing basic financial statements
- G Preparing simple consolidated financial statements
- H Interpretation of financial statements

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Contents – F3 part 1

- Chapter 1: Introduction to accounting
- Chapter 2: The regulation framework
- Chapter 3: The qualitative characteristics of financial information
- Chapter 4: Sources, records and books of prime entry
- Chapter 5: Ledger accounts and double entry
- Chapter 6: From trial balance to financial statements
- Chapter 7: Inventory

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Contents

- Chapter 8: Tangible non-current assets
- Chapter 9: Intangible non-current assets
- Chapter 10: Accruals and prepayments
- Chapter 11: Provisions and contingencies
- Chapter 12: Irrecoverable debts and allowances
- Chapter 13: Sales tax

- Chapter 18: Preparation of financial statements for sole traders



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Exam format

Exam format

35 questions for 2 marks each	70
2 questions for 15 marks each	<u>30</u>
Total	<u>100</u>

Two hour exam – all questions are compulsory.

The Specimen Paper for FFA/F3 can be found at:

www.accaglobal.com/gb/en/student/exam-support-resources/fundamentals-exams-study-resources/f3/past-pilot-papers.html



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Chapter 1

Introduction to accounting

- The purpose of financial reporting
- Types of business entity
- Users
- Governance
- The main financial statements



Syllabus learning outcomes

- Define financial reporting and understand the nature, principles and scope of financial reporting.
- Identify and define the different business entities, the advantages and disadvantages of operating as each of the three types of business entity.
- Identify the users of financial statements and state and differentiate between their information needs.
- Explain what is meant by governance specifically in the context of the preparation of financial statements.
- Describe the duties and responsibilities of directors and other parties covering the preparation of financial statements.





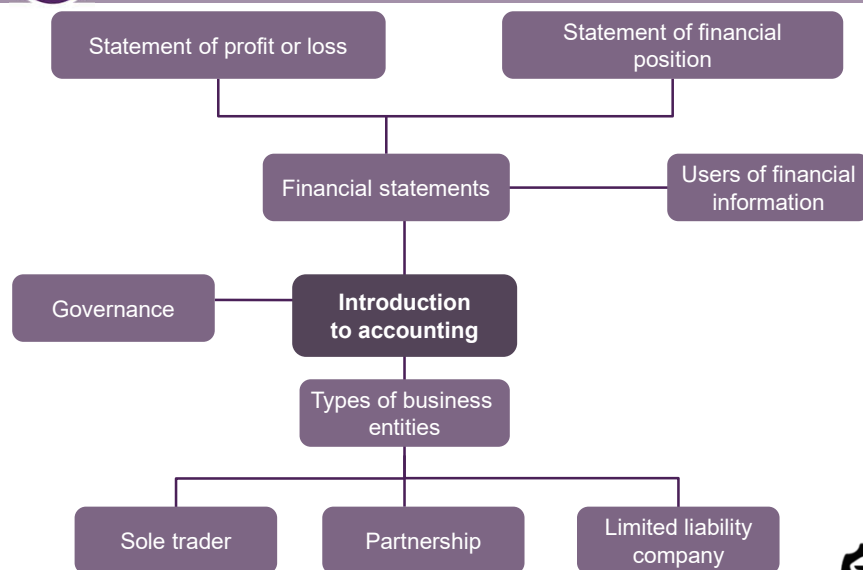
Syllabus learning outcomes

- Understand and identify the purpose of each of the main financial statements.
- Define and identify assets, liabilities, equity, revenue and expenses.

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Overview



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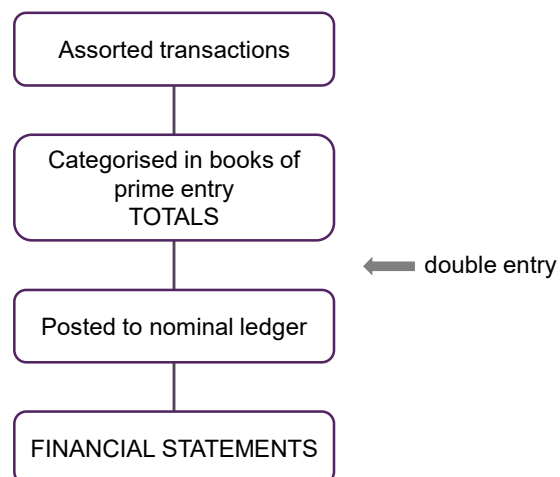
The purpose of financial reporting

- **Financial reporting is a way of recording, analysing and summarising financial data.**
- **Financial data** is the name given to the actual transactions carried out by a business eg sales of goods.
- **Financial data** is recorded in the **books of prime entry**.
- Transactions are **analysed** in the **books of prime entry** and the totals are posted to the **ledger** accounts.
- The transactions are **summarised in the financial statements**.

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Flow of information



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Types of business entity

What is a business?

- A business of whatever size or nature exists to make a **profit**.
- **Profit** occurs when income exceeds expenses.



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Types of business entity

Types of business entity

- **Sole traders** – refers to ownership, sole traders can have employees
- **Partnerships** – two or more people working together to earn profits
- **Limited liability company** – owners have liability limited to the amount they pay for their shares
- A limited liability company has a separate legal identity from its owners



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Sole Trader

- People who work for themselves.
- A sole trader can have employees
- A sole trader is **not** legally separate from the business they operate.
- No requirement to make financial accounts publicly available
- Eg: Small local shops, hairdressers, plumbers, IT repair services



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Partnerships

- Two or more people decide to run a business together
- Partnerships are **not** separate legal entities from their owners
- Eg: An accountancy practice, a medical practice, a legal practice



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Limited liability company

- LLC is a legal entity separated from its owners. The shareholders are only responsible for the amount paid for their shares.
- **Advantages:**
- **Disadvantages:**



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Users

Types

- *Internal* (e.g. owners, employees)
- *External* (e.g. potential investors, banks, government)



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Users

Users of accounts

- Managers of the company
- Shareholders of the company
- Trade contacts
- Providers of finance to the company
- Taxation authorities
- Employees of the company
- Financial analysts and advisors
- Government and their agencies
- The public



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Financial accounting and management accounting

- **Financial accounting**: processes by which financial information about a business is recorded, classified, summarised, interpreted and communicated.
 - => method of **reporting** the financial performance and financial position of a business
 - => satisfy the information needs of persons not involved in running the business
 - => provide historical information
- **Management accounting**: system which analyses data to provide information as a basis for managerial action.



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Tackling the exam

Exam focus point:

The needs of users can be easily examined.

For example, you could be given a list of types of information and asked which user group would be most interested in this information.

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Discussion question

Required

What information would these users of financial information be interested in?

- (a) **Investors**
- (b) **Employees**
- (c) **Lenders**
- (d) **Suppliers**
- (e) **Customers**
- (f) **Governments and their agencies**
- (g) **Public**

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Governance

Directors

- Main aim – to **create wealth for shareholders**.
- Have a **duty of care to show reasonable competence**; **may have to indemnify the company** against loss caused by their negligence.
- Are in a **fiduciary position in relation to** the company which means that they must **act honestly** in what they consider to be the **best interests of the company** and in **good faith**.
- **Are responsible** for the **preparation of the financial statements of the company**.



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Financial Statements

- **Statement of financial position (“SoFP”)**
- **Statement of comprehensive income (“SoCI”)**
 - Statement of profit or loss (“income statement”)
 - Other comprehensive income (e.g. gains & losses)
- **Statement of changes in equity (“SoCIE”)**
- **Statement of cash flows (“CFS”)**
- Accounting policies and explanatory notes

Non-financial statements

- May be included in annual report (e.g. Chairman’s/directors’ statements, environmental reports)



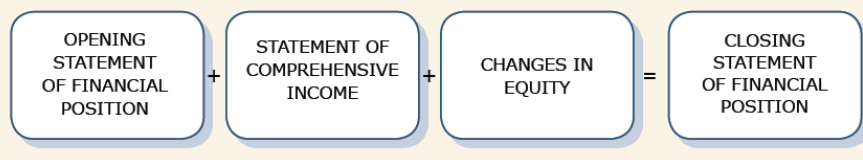
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Purpose

- To provide *information* about
- Financial position (e.g. solvency) $\Rightarrow$ *SoFP*
- Financial performance (e.g. profitability) $\Rightarrow$ *SoCI*
- Cash flows $\Rightarrow$ *CFS*
- To show results of management's stewardship ("accountability")

Inter-relationship



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Statement of Financial Position

- The **statement of financial position (balance sheet)** is a

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IAS 1 *Presentation of financial statements 1*

ABC CO
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 20X2

	20X2		20X1	
	\$	\$	\$	\$
Assets				
Non-current assets				
Property, plant and equipment	X		X	
Goodwill	X		X	
Other intangible assets	X		X	
	X		X	
Current assets				
Inventories	X		X	
Trade receivables	X		X	
Other current assets	X		X	
Cash and cash equivalents	X		X	
		X		X
Total assets		X		X

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IAS 1 *Presentation of financial statements 2*

ABC CO
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 20X2

	20X2		20X1	
	\$	\$	\$	\$
Equity and liabilities				
Equity				
Share capital	X		X	
Retained earnings/(losses)	X		X	
Other components of equity	X		X	
	X		X	
Total equity		X		X

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IAS 1 Presentation of financial statements 3

ABC CO
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 20X2

	20X2		20X1	
	\$	\$	\$	\$
Non-current liabilities				
Long-term borrowings	X		X	
Long-term provisions	X		X	
		X		X
Current liabilities				
Trade and other payables	X		X	
Short-term borrowings	X		X	
Current portion of long-term borrowings	X		X	
Current tax payable	X		X	
		X		X
<i>Total equity and liabilities</i>		X		X

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Lecture example 1

Required

List out everything you own and owe.

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Statement of financial position

For a business, this list is formalised as a **statement of financial position** and shows the entity's assets and liabilities.

- Always headed '**as at**', for the date of the statement of financial position.
- Don't include a caption (item heading) if there isn't a value for it.

The statement of financial position is a **snapshot** of the business at one point in time.



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Assets

- An **asset** is a **resource controlled by an entity as a result of past events and from which future economic benefits are expected to flow to the entity.**
- **Non current Assets**
- **Current Assets**



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Assets

Non-current Assets: Assets are held and used in operation for a long time

Example:

Tangible: Building, land, plant, machinery, equipment, motor vehicle

Intangible: Software, licenses, goodwill, intellectual rights, patents



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Assets

- Current assets: Assets are held and used in operation for a short time (≤ 1 year)
- Eg: Inventory, Trade receivables, other receivables, prepayments, cash



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Liabilites

- A **liability** is a **present obligation of the entity arising from past events**, the settlement of which is expected to result in an outflow of economic benefits.
- **Non current liabilities**: due for payment in more than 1 year from the date of the accounting period

Eg: medium/long term loan

- **Current liabilities**: due for payment in 1 year or less from the date of accounting period

Eg: Trade payables, other payables, loan interest payables, advance from customers, accruals, bank overdraft, income tax payable



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Capital/Equity

- **Equity** is the **residual interest in the assets of the entity after deducting all its liabilities**.

- **Capital = Total assets – Total liabilities**



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Statement of profit or loss

- **The statement of profit or loss is a summary of the business's performance over a period of time.**

Profit is the excess of total income over total expenditure. If expenditure exceeds income, the business has made a loss.



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Statement of profit or loss

- **Income is increases in economic benefits during the accounting period in the form of inflows** or enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contributions from equity participants.
- **Expenses are decreases in economic benefits during the accounting period in the form of outflows** or depletions of assets or incurrences of liabilities that result in decreases in equity, other than those relating to distributions to equity participants.



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Statement of profit or loss

Statement of profit or loss **for** the year ended 31 Dec 20X7

• Revenue	\$150,000
• Cost of goods sold	(\$70,000)
• Gross profit	\$80,000
• Other expenses	(\$35,000)
• Net profit	\$45,000



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Statement of comprehensive income

Statement of profit or loss and comprehensive income **for** the year ended 31 Dec 20X7

• Revenue	\$150,000
• Cost of goods sold	(\$70,000)
• Gross profit	\$80,000
• Other expenses	(\$35,000)
• Net profit	\$45,000
• Other comprehensive income	
• Gain/loss on revaluation of NCA	\$3,000
• Total comprehensive income	\$48,000



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IAS 1 Presentation of financial statements 4

ABC CO
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE
INCOME FOR THE YEAR ENDED 31 DECEMBER 20X2

	20X2	20X1
	\$	\$
Revenue	X	X
Cost of sales	(X)	(X)
Gross profit	X	X
Other income	X	X
Distribution costs	(X)	(X)
Administrative expense	(X)	(X)
Other expenses	(X)	(X)
Finance cost	(X)	(X)
Profit before tax	X	X
Income tax expense	(X)	(X)
Profit for the year	<u>X</u>	<u>X</u>
Other comprehensive income:		
Gains on property revaluation	X	X
Total comprehensive income for the year	<u>X</u>	<u>X</u>

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Statement of profit or loss

A statement of profit or loss for a sole trader will have the following key features:

- Headed up with the **period** for which the income and expenses are being included.
- The top part is the **trading account** which records sales, less cost of sales, to arrive at the **gross profit**.
- Expenses (rent, electricity, wages and salaries etc) are deducted from the gross profit to arrive at the **profit for the year**.
- Do not include nil value captions.

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The relationship between the statements of financial position and profit or loss

- The statement of profit or loss largely explains the movement between the business' assets and liabilities at the beginning of the year and at the end of the year.



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Statement of Cash Flow

- A cash flow statement summarises the cash inflows (receipts) and cash outflows (payments) for a given period. The cash flow statement provides historical information about cash and cash equivalents
- 3 activities: *Operating activities*
Investing activities
Financing activities



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IAS 7 Statement of cash flows 4

STATEMENT OF CASH FLOWS YEAR ENDED 20X7 (INDIRECT METHOD)

	\$m	\$m
<i>Cash flows from investing activities</i>		
Purchase of property, plant and equipment	(900)	
Proceeds from sale of equipment	20	
Interest received	200	
Dividends received	<u>200</u>	
<i>Net cash used in investing activities</i>		(480)

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Statement of changes in equity - SOCIE

- A statement of changes in equity details the movement on the company's capital and reserves

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IAS 1 Presentation of financial statements 5

ABC CO
STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 20X2

	Share capital	Retained earnings	Revaluation surplus	Total
	\$	\$	\$	\$
Balance at 1 January 20X2	X	X	X	X
Changes in equity for 20X2				
Issue of share capital	X			X
Dividends		(X)		(X)
Total comprehensive income for the year	—	X	X	X
Balance at 31 December 20X2	X	X	X	X

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Illustration 1

- Gilda starts a business selling shoes. During the first accounting period she buys 100 pairs from suppliers for \$30 each and sells 20 pairs for \$62 each.
- Calculate Gross profit?

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Question 1 – Jan Bartok

- The following information is available for Jan Bartok's business for the year ended 31 December:

	\$
• Bank overdraft	1,200
• Trade receivables	5,000
• Opening inventory	1,500
• Motor vehicles	2,800
• Sales revenue	25,000
• Drawings	2,000
• Opening capital	5,000



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	\$
• Purchases	20,000
• Trade payables	2,000
• Closing inventory	3,000
• Cash in hand	100
• Administration expenses	1,000
• Wages	800

Required: Prepare a statement of profit or loss for the year ended 31 December and a statement of financial position at that date

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Question 2 – Tomas Maxim

- The following information is available for Tomas Maxim's business for the year ended 31 December

	\$
• Trade payables	6,400
• Trade receivables	5,060
• Purchases	16,100
• Sale revenue	28,400
• Motor van	1,700
• Drawings	5,100
• Insurance	174



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Question 2

	\$
• General expenses	1,596
• Rent	2,130
• Salaries	4,162
• Inventory at 31 December	2,050
• Sale returns	200
• Cash at bank	2,626
• Cash in hand	50
• Capital introduced	4,100

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Proforma financial statements

Companies must follow a prescribed format when producing their financial statements, there is however no set format for a sole trader's statement of profit or loss and statement of financial position.

▪ The concept of business entity

The business entity concept states that a business is a separate entity from its owners.



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Chapter 2

The regulatory framework

- The regulatory system
- IASB



Syllabus learning outcomes 1

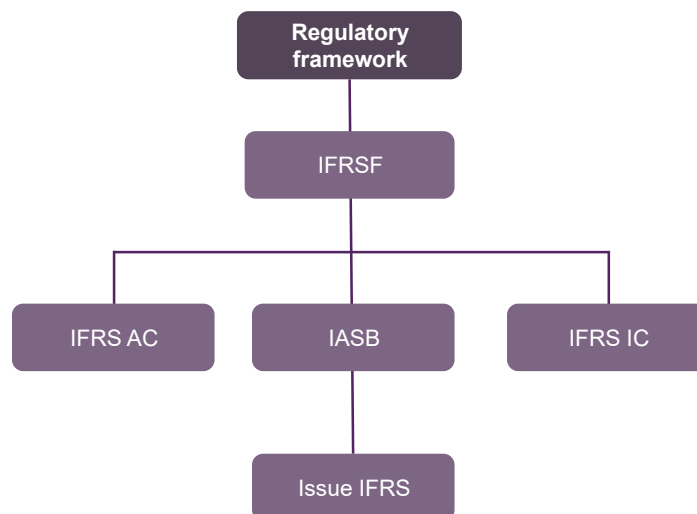
- Understand the role of the regulatory system including the roles of the:
 - International Financial Reporting Standards Foundation (IFRSF)
 - International Accounting Standards Board (IASB)
 - International Financial Reporting Standards Advisory Council (IFRSAC)
 - International Financial Reporting Standards Interpretations Committee (IFRSIC)
- Understand the role of International Financial Reporting Standards (IFRS)



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Overview



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The regulatory system 1

- Financial statements are produced by an entity's managers in order to show its owners how the entity has performed over a period of time.
- Company financial statements particularly need to show a true and fair view.
- This means a system of regulation is necessary to ensure that financial statements are produced to a high standard and are comparable across different companies.



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The regulatory system 2

Influences upon financial accounting

- **National law** – form and content of accounts may be regulated by national legislation. 'Fair presentation'.
- **Accounting standards** – IASB produces standards.
- **Accounting concepts and individual judgement** can lead to subjectivity; accounting standards developed to address subjectivity.
- **GAAP – Generally Accepted Accounting Principles** – drawn from: local company law, accounting standards, statutory requirements in other countries and stock exchanges
- **Other international issues**



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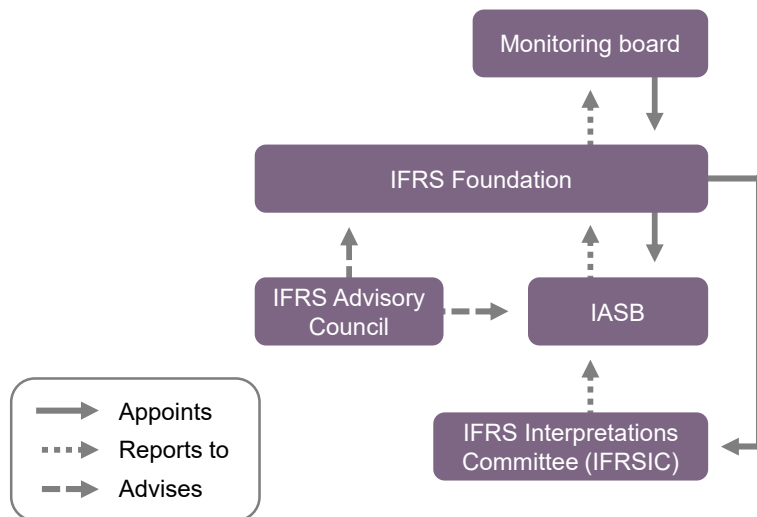
IASB 1

- The IASB develops International Financial Reporting Standards (IFRSs).
- The parent entity of the IASB is the IFRS Foundation.
- The main objectives of the IFRS Foundation are to:
 - Develop a single set of high quality, understandable, enforceable and globally accepted IFRSs through standard-setting body IASB
 - Promote use and rigorous application of these standards
 - Take account of the needs of emerging economies and SMEs
 - Bring about convergence of national accounting standards and IFRSs to high quality solutions

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IASB 3



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Lecture example 1

Which body oversees the work of the International Accounting Standards Board?

- A The IFRSIC
- B The IFRSF
- C The IASB
- D The IFRSAC



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Lecture example 2

Which of the following bodies is involved in trying to achieve convergence of global accounting standards?

- A The IASB
- B The IFRSIC
- C The IFRSF
- D The IFRSAC



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Lecture example 3

International Financial Reporting Standards are prepared by:

- A The IFRS Foundation
- B The IASB
- C The IAASB
- D The accounting bodies of each country



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Lecture example 4

Which of the following best describes the role of the International Financial Reporting Standards Interpretations Committee?

- A Issues International Financial Reporting Standards
- B Provides advice on the development of standards
- C Interprets International Financial Reporting Standards
- D Investigates listed companies to ensure they comply with International Financial Reporting Standards



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Chapter summary 1

1 Regulatory system

- Financial statements are relied on by many different user groups to make economic decisions. A system of regulation is therefore necessary to ensure that the information produced is of a high standard.
- The **IFRSF** appoints members to the IASB, IFRSIC and IFRSAC.
- The **IASB** issues International Financial Reporting Standards.
- The **IFRSIC** issues guidance on how to apply accounting standards.
- The **IFRSAC** advises the IASB on its agenda.



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Chapter summary 2

2 The role of international financial reporting standards

- International financial reporting standards give guidance as to how transactions should be recorded in the accounts.



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Chapter 3

The qualitative characteristics of financial information

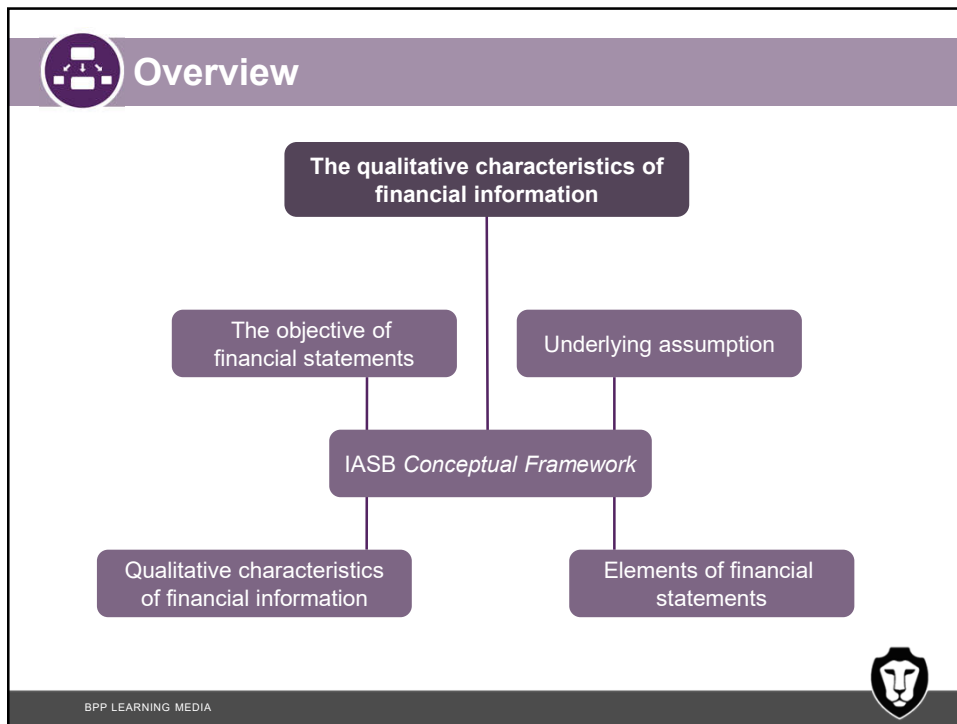
- The IASB's *Conceptual Framework*
- Qualitative characteristics of financial information



Syllabus learning outcomes

- Define, understand and apply accounting concepts and qualitative characteristics.
- Understand the balance between qualitative characteristics.





The IASB's *Conceptual Framework* 1

Underlying assumption

Going concern

- The financial statements are normally prepared on the assumption that an entity is a going concern and will continue in operation for the foreseeable future.

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The IASB's *Conceptual Framework 2*

Not an underlying assumption but accounts should be prepared on an accruals basis:

Accruals basis

- The effects of transactions and other events are recognised when they occur (and not as cash or its equivalent is received or paid) and they are recorded in the accounting records and reported in the financial statements of the periods to which they relate.



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The IASB's *Conceptual Framework 3*

Qualitative characteristics

Two fundamental qualitative characteristics:

- Relevance
- Faithful representation



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The IASB's *Conceptual Framework 4*

Relevance

- Information is relevant when it influences decisions of users, affected by nature and materiality
- Materiality**: information is material if its omission or misstatement could influence the economic decisions of users taken on the basis of the financial statements

Faithful representation

- Financial information must faithfully represent the underlying economic phenomena
- Complete, neutral, free from error



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The IASB's *Conceptual Framework 5*

Enhancing characteristics

- Comparability
- Verifiability
- Timeliness
- Understandability



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The IASB's *Conceptual Framework 6*

Comparability

- Users must be able to compare financial statements through time and with other entities
- Disclose accounting policies
- Disclose corresponding information for comparative periods

Verifiability

- Information that can be independently verified

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The IASB's *Conceptual Framework 7*

Timeliness

- Information is available in time to be capable of influencing decisions

Understandability

- Users must be able to understand financial statements
- Users assumed to have some economic, business and accounting knowledge
- Complex matters should not be left out if relevant

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The IASB's *Conceptual Framework* 8

Other concepts

Business entity concept

- In accounting, the business is treated as separate to its owners. **Not the same as limited liability!**

Fair presentation

- Financial statements are required to present fairly in all material respects the financial results and position of the business.
- Compliance with IFRSs will achieve this.

Consistency

- Presentation and classification of items should remain consistent from one period to the next



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Tackling the exam

Exam focus point:

Always read the question carefully before answering. Make sure that you understand the requirement and have picked out the main points of the question. This may sound obvious but the FFA/F3 examiner regularly comments that students have failed to read the question.

The syllabus shows that you must understand and be able to apply both qualitative characteristics and accounting concepts. Do not neglect this section.



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 **Specimen exam question**



Section A

Question 30 0 of 2 marks

Time Remaining

1:22:27

Exam 4% Complete



FFA-Financial Accounting (Full Exam)

The IASB's Conceptual Framework for Financial Reporting identifies qualitative characteristics that make financial information faithfully represent what it purports to represent.

Which TWO of the following are examples of those qualitative characteristics?

☐ Accruals
☐ Completeness
☐ Going concern
☐ Neutrality

Source: ACCA Paper FFA/F3 Financial Accounting Specimen Exam



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 **Chapter summary 1**

1 The IASB's *Conceptual Framework*

- Financial statements should present fairly the activities of an entity for a particular period.
- The IASB's *Conceptual Framework* provides a **set of principles** on which financial accounting is based.
- The **objective** of financial statements is to provide information on an entity's **financial position, financial performance and financial adaptability**. The **accruals** basis requires that transactions are recognised when they **occur** rather than when any cash is received or paid.



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Chapter summary 2

- The **going concern** basis assumes that the entity will continue in operation for the foreseeable future.
- In order for the information in the financial statements to be useful it should possess the **fundamental characteristics** of relevance and faithful representation and the **enhancing characteristics** of comparability, verifiability, timeliness and understandability.

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Chapter 4

Sources, records and books of prime entry

- The role of source documents
- Sales and purchase day books
- Cash books
- Controlling petty cash – the imprest system



Syllabus learning outcomes

- Identify and explain the function of the main data sources in an accounting system and how the accounting system provides useful information.
- Outline the contents and purpose of different types of business documentation such as an invoice.
- Identify the main types of business transactions

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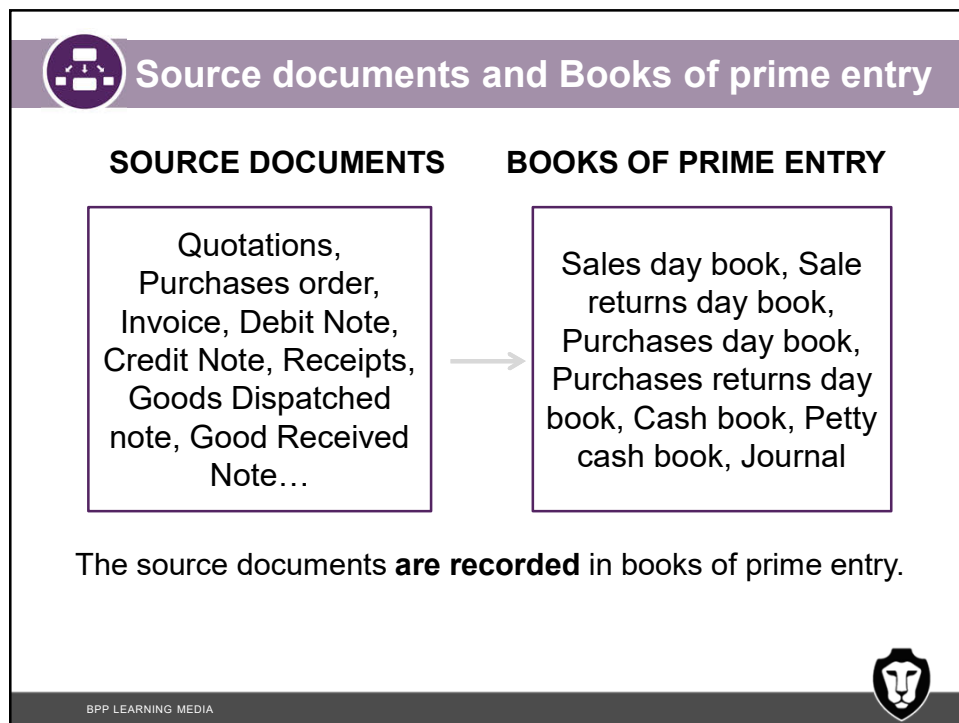
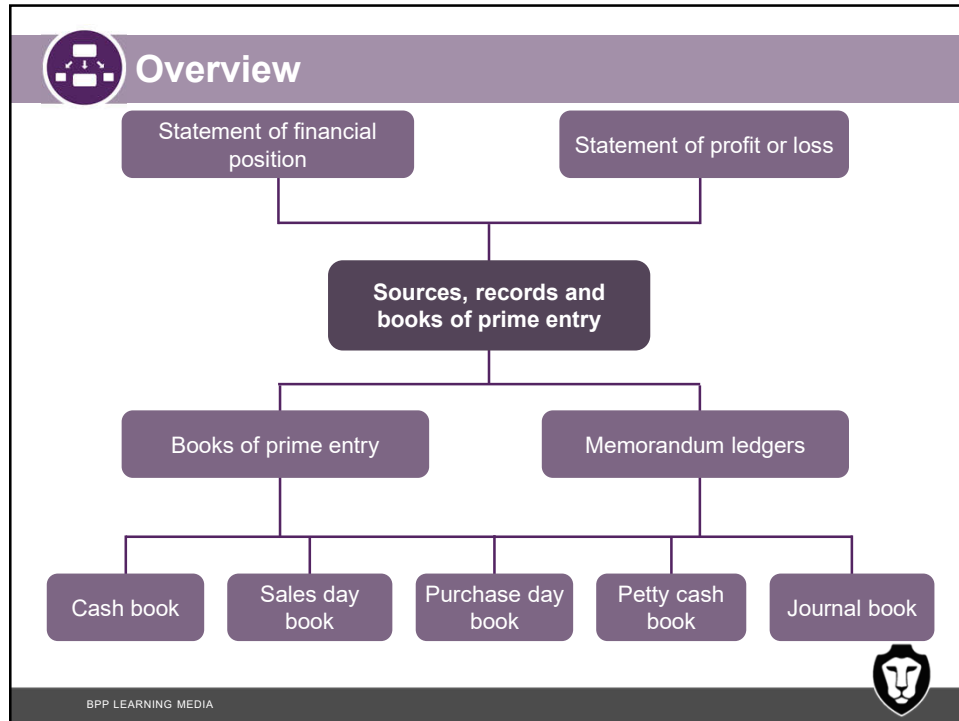


Syllabus learning outcomes

- Identify the main types of ledger accounts and books of prime entry, and understand their nature and function.
- Understand and record sales and purchase returns.
- Understand the need for a record of petty cash transactions and security over the petty cash system.

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Types of source documents

- Quotation: a written offer to customer to produce or deliver goods/services for a certain amount of money
- Purchases order: A document of the company that details goods or services which the company wishes to purchase from another company
- Sales order: A document of the company that details an order placed by a customer for goods or services
- Goods despatched/ delivery note: A list of goods that a business has sent out to a customer.
- Goods received note: A list of goods that a business has received from a supplier.



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Types of source documents

- Invoice: a demand for payment
- Receipt: a written confirmation that money has been paid.
- Credit note: used by a seller to cancel part or all of previously issued invoices. (can be treated like negative invoice)
- Debit note: issued by a customer to a supplier as a means of formally requesting a credit note. By a supplier in order to adjust upwards the amount of an invoice already issued.



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Types of source documents

- Statement: A document sent out by a supplier to a customer listing all invoices, credit notes and payments received from a customer
- Remittance advice: A document sent with a payment, detailing which invoices are being paid and which credit notes offset.
- Petty cash vouchers: A voucher raised on a payment from or receipt into petty cash.
- Cheques received: A cheque received from a customer to pay for his outstanding debt.



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Books of prime entry

The main books of prime entry

- Sales day book
- Purchase day book
- Sales returns day book
- Purchase returns day book
- Journal
- Cash book
- Petty cash book



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Sales day books

- The sales day book is used to keep a list of all invoices sent out to **credit** customers each day.

Sales day book

The sales day book is used to keep a list of all invoices sent out to credit customers each day. Here is an example.

SALES DAY BOOK

<i>Date</i>	<i>Invoice number</i>	<i>Customer</i>	<i>Rec'bles ledger ref.</i>	<i>Total invoiced</i>
				\$
3.3.X9	207	ABC & Co	SL 12	4,000
	208	XYZ Co	SL 59	<u>1,200</u>
				<u>5,200</u>

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Purchase day books

- This is used to keep a record of invoices which a business receives for **credit** purchases.

Purchases day book

This is used to keep a record of invoices which a business receives for credit purchases. Here is an example.

PURCHASES DAY BOOK

<i>Date</i>	<i>Supplier</i>	<i>Payables ledger ref.</i>	<i>Total invoiced</i>
			\$
3.4.X9	RST Co	PL31	215
10.4.X9	JMU Inc	PL19	1,804
15.4.X.9	DDT & Co	PL24	<u>758</u>
			<u>2,777</u>

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Cash books

- **Cash receipts and payments** are recorded in the cash book.
- The Cash book deals with money paid into and out of the business **bank account**

Cash receipts are recorded as follows, with the total column analysed into its component parts.

CASH RECEIPTS

<i>Date</i>	<i>Narrative</i>	<i>Total</i>	<i>Discounts allowed</i>	<i>Rec'bles ledger</i>	<i>Cash sales</i>	<i>Sundry</i>
		\$	\$	\$	\$	\$
3.3.X9	Cash sale	150			150	
	ABC & Co	1,000	50	1,000		
	(discount taken)					
		<u>1,150</u>	<u>50</u>	<u>1,000</u>	<u>150</u>	<u>-</u>

- Cash payments are recorded in a similar way.

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Petty cash book

- Petty cash payments and receipts are recorded in a petty cash book.

Most businesses keep a small amount of cash on the premises for small payments, eg stamps, coffee.

PETTY CASH BOOK

RECEIPTS			PAYMENTS				
<i>Date</i>	<i>Narrative</i>	<i>Total</i>	<i>Date</i>	<i>Narrative</i>	<i>Total</i>	<i>Stationery</i>	<i>Coffee etc</i>
		\$			\$	\$	\$
3.3.X9	Bank	50	3.3.X9	Paper	10	10	
				Coffee	5		5
		<u>50</u>			<u>15</u>	<u>10</u>	<u>5</u>

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Petty cash imprest system

- Under the 'imprest system':

Cash still held in petty cash X

Plus **voucher payments** X

Must equal the agreed sum or float X

(the imprest amount)

- Reimbursement is made equal to the voucher payments to bring the float back up to the imprest amount.



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Controlling petty cash – the imprest system

An imprest system acts as an accounting control by having a set amount of petty cash.

- Pre-set limit, say \$50
- Voucher filled in when money is taken out to pay expenses
- At any time, vouchers + cash = pre-set limit
- At the end of the week/month, the petty cash book is filled in from the vouchers
- The amount needed to bring the balance back up to the pre-set limit = money spent



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Illustration 1 – Imprest system

- Imprest balance at beginning of week **\$100**
- Less: Paid during week
- Stationery 9
- Tea and coffee 14
- Telephone 2
- Taxi 4
- Auditor's lunch 39
- \$68**
- Cash "in hand" in petty cash at end of week **\$32**

At the end of the week, \$68 of cash will be drawn up from the bank to reimburse the petty cash tin (**top it up to its original balance of \$100**)



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Illustration 2 – Non-imprest system

- 1 Jan: \$100 is put into a new petty cash float. During January, \$98 is disbursed
- 31 Jan: \$100 is added to the float. The balance is now \$102. During February, \$30 is disbursed.
- 28 Feb: \$100 is added to the float. The balance is now \$172



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Tackling the exam

Exam focus point:

You will not get numerical questions on the imprest system in your exam. However, you do need to be aware of how the imprest system works.



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Specimen paper question



Section A
Question 2

0 of 2 marks

Time Remaining
1:59:48

Exam 0% Complete

[Exam Progress Details](#)

FFA-Financial Accounting (Full Exam)

Exit

Which of the following explains the imprest system of operating petty cash?

- ☐ Regular equal amounts of cash are transferred into petty cash at intervals
- ☐ The exact amount of expenditure is reimbursed at intervals to maintain a fixed float
- ☐ Weekly expenditure cannot exceed a set amount
- ☐ All expenditure out of the petty cash must be properly authorised

Source: ACCA Paper FFA/F3 Financial Accounting Specimen Exam



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Question 1

- State which books of prime entry the following transactions would be entered into:
 - a. Pays Brown (a supplier) \$450
 - b. Send D Smith (a customer) an invoice for \$650
 - c. The manager asks for \$12 urgently in order to buy some envelopes
 - d. Receives an invoice from Brown for \$300
 - e. Jones (a customer) returns goods to the value of \$250
 - f. Returns goods to Green to the value of \$203
 - g. Receives \$400 from Jones

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Chapter summary

From business transactions to financial statements

- A business will enter many transactions during the year. All of these need to be recorded and summarised to produce the entity's financial statements.

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Chapter summary

Books of prime entry

- The business' transactions must first be **categorised into the books of prime entry**. The **cash book** records money paid in to and out of the bank account; the **sales day book** records credit sales; the **purchase day book** records credit purchases; the **petty cash book** records transactions made in petty cash and the **journal book** is used to correct errors and make other adjustments such as accruals and prepayments. The **totals** on these books are then **summarised in the nominal ledger**.



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Chapter 5

Ledger accounts and double entry

- The nominal ledger
- The accounting equation
- Double entry bookkeeping
- The journal
- Day book analysis
- The receivables and payables ledgers



Syllabus learning outcomes

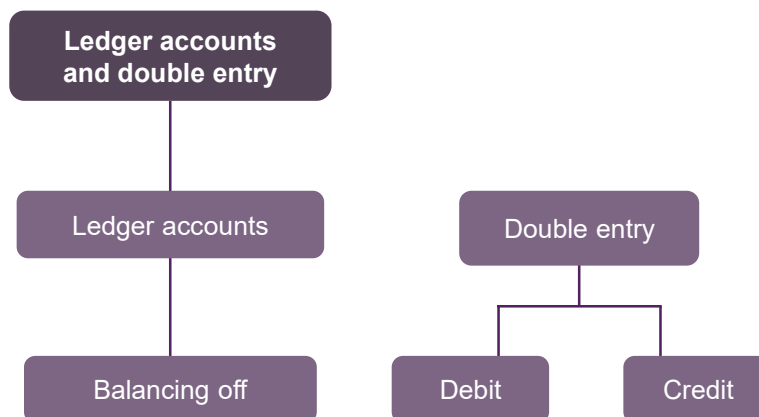
- Understand and apply the concept of double entry accounting, the duality concept and the accounting equation.
- Identify the main types of ledger account and illustrate how to balance and close a ledger account.
- Understand and illustrate the uses of journals and the posting of journal entries into ledger accounts.
- Identify correct journals from given narrative.
- Record credit sale; credit purchase and cash transactions in ledger accounts and day books.
- Understand and record sales and purchase returns.



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Overview



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The ledger account

Ledger accounting and double entry

- Method used to **summarise** transactions in the books of prime entry
- A ledger account or 'T' account looks like this:

NAME OF ACCOUNT	
\$	\$
DEBIT SIDE	CREDIT SIDE

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The nominal ledger

The nominal ledger

- Is an accounting record which summarises the financial affairs of a business
- The principal accounts are contained in a nominal ledger (general ledger)

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The nominal ledger

Examples of accounts within the **nominal ledger** include the following.

- Plant and machinery (non-current asset)
- Inventories (current asset)
- Sales (income)
- Rent (expense)
- Total payables (current liability)



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The accounting equation

The accounting equation

- **CAPITAL + LIABILITIES = ASSETS**

The business entity concept: Financial statements always treat the business as a separate entity



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The accounting equation

- $\text{Assets} = \text{Capital} + \text{Liabilities}$
- $\text{Assets} = (\text{Capital introduced} + \text{Retained profits}) + \text{Liabilities}$
- $\text{Assets} = \text{Capital introduced} + \frac{(\text{Earned profit} - \text{Drawings})}{\text{Liabilities}} +$

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The business equation:

$\text{Increase in net assets} = \text{Capital contributed in the period} + \text{Profit for the period} - \text{Drawings}$

$$I = C + P - D$$

$\text{Increase in net assets} = \text{Closing net assets} - \text{Opening net assets}$

$\text{Increase in net assets} = \text{Closing capital/equity} - \text{Opening capital/equity}$

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Capital

- Investment of funds with the intention of earning a return

Drawings

- Amounts withdrawn from the business by the owner
- Drawings are relevant in sole traders and partnership.
- In limited companies, the owners (shareholders) are paid *dividends*

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The accounting equation

- Illustration 1

M is a sole trader. Give the two effects of each of the following transactions:

- Contributes \$10,000 in capital
- Buys a car for \$5,000 cash
- Borrows \$5,000 from the bank

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Double entry bookkeeping

Basic principles

- Double entry bookkeeping is based on the same idea as the accounting equation.
- Every accounting transaction has two equal but opposite effects.
- Equality of assets and liabilities is preserved.
- In a system of double entry bookkeeping every accounting event must be entered in ledger accounts both as a debit and as an equal but opposite credit.

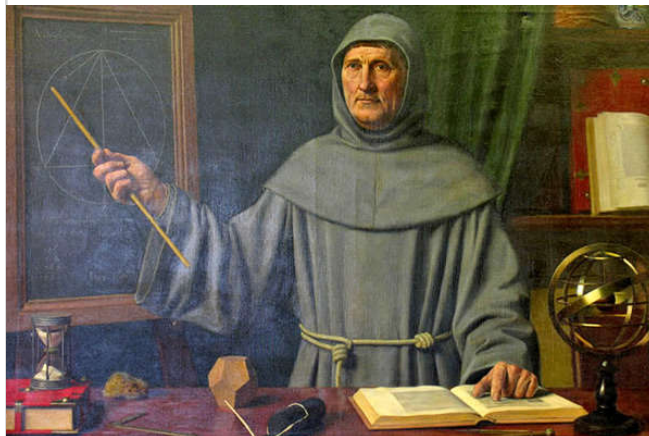
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Luca Pacioli

"The Father of Accounting & Bookkeeping"

The first person to publish a work on the double-entry system of book-keeping



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Double entry bookkeeping

A **debit** entry will:



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Double entry bookkeeping 3

A **credit** entry will:



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Double entry bookkeeping

Double entry bookkeeping

- The rules of double entry bookkeeping are best learnt by considering the cash book.
- A **credit** entry indicates a payment made by the business; the matching debit entry is then made in an account denoting an expense paid, an asset purchased or a liability settled.
- A **debit** entry in the cash book indicates cash received by the business; the matching credit entry is then made in an account denoting revenue received, a liability created or an asset realised.



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Lecture example 1

Required

What is the double entry for each of the following?

Explain each entry in terms of the general rules above.

- Sales for cash
- Sales on credit
- Purchase for cash
- Purchase on credit
- Pay electricity bill
- Receive cash from a credit customer
- Pay cash to a credit supplier
- Borrow money from the bank



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Lecture example 2

Douglas

- Douglas had the following transactions during January:
 - (1) Introduced \$5,000 cash as capital
 - (2) Purchased goods on credit from Richard, worth \$2,000
 - (3) Paid rent for one month, \$500
 - (4) Paid electricity for one month, \$200
 - (5) Purchased car for cash, \$1,000
 - (6) Sold half of the goods on credit to Tish for \$1,750
 - (7) Drew \$300 for his own expenses
 - (8) Sold goods for cash, \$2,100

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Lecture example 2 (cont'd)

Required

Post transactions (1) to (8) to the relevant ledger accounts.

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? Lecture example 3

The following information has been posted to the cash account below.

Required

Balance off the cash account to determine the amount of cash held at the end of January.

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? Lecture example 3 (cont'd)

Dr		Cash		Cr	
		\$			\$
2/1	Sales	500	1/1	Purchases	300
10/1	Sales	500	25/1	Telephone	50

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The journal

The journal

- Book of prime entry
- Keeps a record of unusual movements between accounts
- Format of journal entries is as follows:

Date	Debit	Credit		
			\$	\$
DEBIT	A/c to be debited		X	
CREDIT	A/c to be credited			X
Narrative to explain transaction				



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Example 4

- Identify the journal entries in the following transactions:
 1. Buys a machine on credit from A, cost \$8,00
 2. Buys goods on credit from B, cost \$500
 3. Sells goods on credit to C, value \$1,200
 4. Pays D (a credit supplier) \$300
 5. Collects \$180 from E, a credit customer



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6. Pays wages \$4,000
7. Receives rent bill of \$700 from landlord G
8. Pays rent of \$700 to landlord G
9. Pays insurance premium \$90
10. Receives a credit note for \$450 from supplier H
11. Sends out a credit note for \$200 to customer I

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Example 5

- Ron Knuckle set up a business selling keep fit equipment. Identify the journal entries
- | | |
|--|--------|
| | \$ |
| 1. Ron puts in cash as capital. | 7,000 |
| 2. Pay rent of shop for the period | 3,500 |
| 3. Purchases equipment (inventories) on credit | 5,000 |
| 4. Raises loan from bank | 1,000 |
| 5. Purchases of shop fittings (for cash) | 2,000 |
| 6. Sale of equipment: cash | 10,000 |

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7. Sale of equipment: on credit	2,500
8. Payments for trade account payable	5,000
9. Payments from trade account receivable	2,500
10. Interest on loan (paid)	100
11. Other expenses (paid)	1,900
12. Drawings	1,500



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Tackling the exam

Exam focus point:

An examination question might ask you to 'journalise' transactions which would not in practice be recorded in the journal at all. If you are faced with such a problem, you should simply record the debit and credit entries for every transaction.



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Day book analysis 1

Day book analysis

- Entries in the day books are totalled and analysed before posting to the nominal ledger.
- Note that day books are often analysed as in the following extract (date, customer name and reference not shown).

	<i>Total invoiced</i>	<i>Calculator sales</i>	<i>Book sales</i>
	\$	\$	\$
	340	160	180
	120	70	50
	<u>600</u>	<u>350</u>	<u>250</u>
Total	<u>1,060</u>	<u>580</u>	<u>480</u>



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Day book analysis 2

- To identify sales by product, total sales would be entered ('posted') as follows.

		\$	\$
DEBIT	Receivables a/c	1,060	
CREDIT	Sales: Calculators		580
	Sales: Books		480

- Other books of prime entry are analysed in a similar way.



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The receivables and payables ledgers 1

Trade account receivable

- A customer who buys goods without paying for them straight away (an asset).
- Also known as a **debtor**.

Trade account payable

- A person to whom a business owes money (a liability).
- Also known as a **creditor**.

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The receivables and payables ledgers 2

Receivables and payables ledgers

- To keep track of individual customer and supplier balances it is common to maintain subsidiary ledgers called the **receivables ledger and the payables ledger**. Each account in these ledgers represents the balance owed by or to an **individual** customer or supplier.
- These receivables and payables ledgers are usually kept purely for reference and are therefore known as **memorandum records**. They **do not** form part of the double entry system.

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The receivables and payables ledgers 3

- However, some computerised accounting packages treat the receivables and payables ledgers as part of the double entry system, in which case separate control accounts are not kept.

Entries to the **receivables ledger** are made as follows:

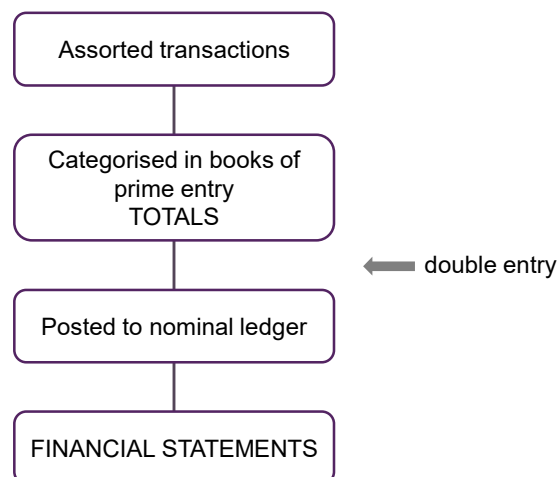
- When making an entry in the sales day book, an entry is then made on the debit side of the customer's account in the receivables ledger.
- When cash is received and an entry made in the cash book, an entry is also made on the credit side of the customer's account in the receivables ledger.
- The **payables ledger** operates in much the same way.



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Flow of information



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Chapter summary

1 Introduction

- In Chapter 4 the totals on the books of prime entry were summarised in the nominal ledger. These amounts are **posted to the nominal ledger using double entry**.
- The principles of double entry work on the basis that for each debit entry there must be a credit entry. This is also known as the dual effect.

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Chapter summary 2

2 Ledger accounts

- A debit entry increases assets, expenses and drawings and a credit entry increases liabilities, income and capital – this can be remembered as **DEAD CLIC**.

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Chapter summary 3

3 Flow of information

- A business' transactions are categorised in the books of prime entry and the totals are then posted to the nominal ledger. A trial balance (Chapter 6) can then be extracted from the balances on the nominal ledger accounts and the statement of financial position and statement of profit or loss produced.

4 Balancing off the ledger accounts

- At the end of each period the nominal ledger accounts (T accounts) are 'balanced off' to determine the closing balance on each account.



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Chapter summary 5

5 Memorandum ledgers

- There are two memorandum ledgers: the **receivables ledger** and the payables ledger. The receivables ledger shows **how much the business is owed by each individual customer** at a point in time and the **payables ledger** shows **how much it owes to each individual supplier at any point in time**.



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Chapter 6

From trial balance to financial statements

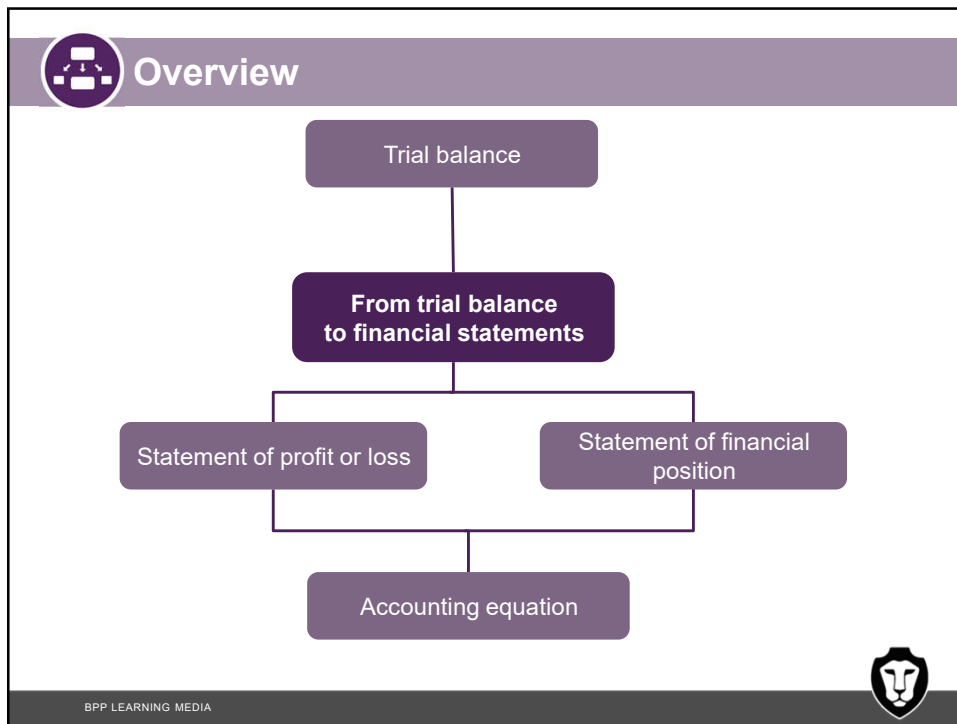
- The trial balance
- Statement of profit or loss
- Statement of financial position
- Preparing financial statements



Syllabus learning outcomes

- Identify the purpose of a trial balance
- Extract ledger balances into a trial balance
- Prepare extracts of an opening trial balance
- Identify and understand the limitations of a trial balance





 **The trial balance 1**

Balancing ledger accounts

- At the end of an accounting period a balance is struck on each ledger account.
- Total all **debits** and **credits**
- Debits exceed credits = debit balance
- Credits exceed debits = credit balance

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The trial balance 2

- An example of balancing a ledger account is shown below

RECEIVABLES			
	\$		\$
Sales	10,000	Cash	8,000
		Balance c/d	2,000
	<u>10,000</u>		<u>10,000</u>
Balance b/d	2,000		

This account has a debit balance of \$2,000.



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The trial balance 3

Trial balance

- The balances are then collected in a trial balance. If the double entry is correct, total debits = total credits.
- An example of a trial balance, incorporating the above receivables balance, is shown on the next slide.



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The trial balance 4

ABC TRADERS TRIAL BALANCE AS AT 30 JUNE 20X7		
	\$	\$
Sales		35 000
Purchases	13 000	
Receivables	2 000	
Payables		1 500
Cash	10 000	
Capital		10 000
Loan		10 000
Rent	4 000	
Sundry expenses	3 500	
Loan interest	1 000	
Drawings	5 000	
Fixtures and fittings	18 000	
	<u>56 500</u>	<u>56 500</u>

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Lecture example 1

- Douglas**

Cash

	\$		\$
Capital	5,000	Rent	500
Sales	2,100	Electricity	200
		Car	1,000
		Drawings	300

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Lecture example 1 (cont'd)

Capital

\$		\$
	Cash	5,000

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Lecture example 1 (cont'd)

Trade payables

\$		\$
	Purchases	2,000

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Lecture example 1 (cont'd)

Purchases		
	\$	\$
Trade payables	2,000	

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Lecture example 1 (cont'd)

Rent		
	\$	\$
Cash	500	

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Lecture example 1 (cont'd)

Electricity		
	\$	\$
Cash	200	

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Lecture example 1 (cont'd)

Car		
	\$	\$
Cash	1,000	

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? Lecture example 1 (cont'd)

Drawings		
	\$	\$
Cash	300	

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? Lecture example 1 (cont'd)

Trade receivables		
	\$	\$
Sales	1,750	

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Lecture example 1 (cont'd)

Sales			
	\$		\$
		Trade receivables	1,750
		Cash	2,100

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Lecture example 1 (cont'd)

Required

Balance off the ledger accounts for Douglas

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Answer to lecture example 2

Trial Balance

	<i>Debit</i>	<i>Credit</i>
Cash	\$	\$
Capital		
Trade payables		
Purchases		
Rent		
Electricity		
Car		
Drawings		
Trade receivables		
Sales		
	_____	_____
	_____	_____

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Statement of profit or loss

Statement of profit or loss

- First open up a ledger account for the statement of profit or loss. Continuing our example for ABC Traders this ledger account is shown below, together with the rent account to illustrate how balances are transferred to it at the end of the year.

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Statement of profit or loss 2

Statement of profit or loss

ABC TRADERS
STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED 30 JUNE 20X7

	\$	\$
Sales		35,000
Cost of sales (here = purchases)		<u>13,000</u>
Gross profit		22,000
Expenses		
Rent	4,000	
Sundry expenses	3,500	
Loan interest	<u>1,000</u>	
		<u>8,500</u>
Net profit		<u>13,500</u>

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Statement of profit or loss 3 – Transferring

Rent			
	\$		\$
Cash	<u>4,000</u>	Bal c/d	<u>4,000</u>
Bal b/d	<u>4,000</u>	SPL	<u>4,000</u>

SPL	
Rent	<u>4,000</u>

NB: The remaining profit or loss account balances are also then transferred to the statement of profit or loss account as illustrated above.

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Lecture example 3

- **Douglas**

Refer to Lecture example 2.

Required

Prepare a statement of profit or loss in ledger account form.



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Answer to lecture example 3

Purchases

--	--



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Answer to lecture example 3 (cont'd)

Rent



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Answer to lecture example 3 (cont'd)

Electricity



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Answer to lecture example 3

Sales



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Answer to lecture example 3 (cont'd)

Statement of profit or loss

	\$		\$
Purchases		Sales	
Gross profit c/d	_____		_____
	_____		_____
Rent		Gross profit b/d	
Electricity			
Net profit c/d	_____		_____0
	_____		_____
		Net profit b/d	



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Statement of financial position 1

Statement of financial position

- The statement of financial position is prepared by following these steps.
- Balance off the accounts relating to assets and liabilities.
- Transfer the balances (per ABC Traders) on the drawings account and the statement of profit or loss (\$13,500) to the capital account as follows:



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Statement of financial position 2

DRAWINGS			
	\$		\$
Cash	<u>5,000</u>	Capital	<u>5,000</u>

STATEMENT OF PROFIT OR LOSS			
	\$		\$
Purchases	13,000	Sales	35,000
Rent	4,000		
Sundry expenses	3,500		
Loan interest	1,000		
Capital a/c	<u>13,500</u>		
	<u>35,000</u>		<u>35,000</u>

CAPITAL			
	\$		\$
Drawings	5,000	Capital	10,000
Balance c/d	<u>18,500</u>	SPL	<u>13,500</u>
	<u>23,500</u>		<u>23,500</u>



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Statement of financial position 3

- This gives us the statement of financial position as follows:

ABC TRADERS			
STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 20X7			
	\$		\$
<i>Non-current assets</i>			
Fixtures and fittings			18 000
<i>Current assets</i>			
Receivables	2 000		
Cash	<u>10 000</u>		
			<u>12 000</u>
			<u>30 000</u>
<i>Proprietor's capital</i>			<u>18 500</u>
<i>Current liabilities</i>			
Payables	1 500		
Loan	<u>10 000</u>		
			<u>11 500</u>
			<u>30 000</u>

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Lecture example 4

- Douglas**

Refer to Lecture example 2 and Lecture example 3.

Required

Draw up a statement of profit or loss for the period and a statement of financial position at the end of January.

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Answer to lecture example 4

DOUGLAS

STATEMENT OF PROFIT OR LOSS FOR THE MONTH OF JANUARY

	\$	\$
Sales		
Less cost of sales:		
Purchases		
Gross profit		
Less expenses:		
Rent		
Electricity		
Net profit		

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Answer to lecture example 4 (cont'd)

DOUGLAS

STATEMENT OF FINANCIAL POSITION AS AT 31 JANUARY

	\$	\$
NON-CURRENT ASSET		
Motor Vehicle		
CURRENT ASSETS		
Trade receivables		
Cash		

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Answer to lecture example 4 (cont'd)

	\$	\$
PROPRIETOR'S INTEREST		
Capital introduced on 1 January		
Profit for the year		
Less: drawings		
Balance 31 January		
CURRENT LIABILITIES		
Trade payables		

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Lecture example 5

- **Douglas**

Refer to Lecture example 4.

Required

Transfer the profit and drawings to the capital account.

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Answer to lecture example 5

Drawings			
	\$		\$
Cash		Bal c/d	
Bal b/d		Capital	

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Answer to lecture example 5 (cont'd)

Statement of profit or loss

	\$		\$
Purchases		Sales	
Gross profit c/d	_____		_____
	_____		_____
Rent		Gross profit b/d	
Electricity			
Net profit c/d	_____		_____
	_____		_____
Capital	_____	Net profit b/d	_____

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Answer to lecture example 5 (cont'd)

Capital	
Bal c/d	Cash
Drawings	Bal b/d
Bal c/d	Net profit
	Bal b/d

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Lecture example 6

- **Douglas**

Refer to Lecture example 4.

Required

Prepare the accounting equation for Douglas.

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Answer to lecture example 6

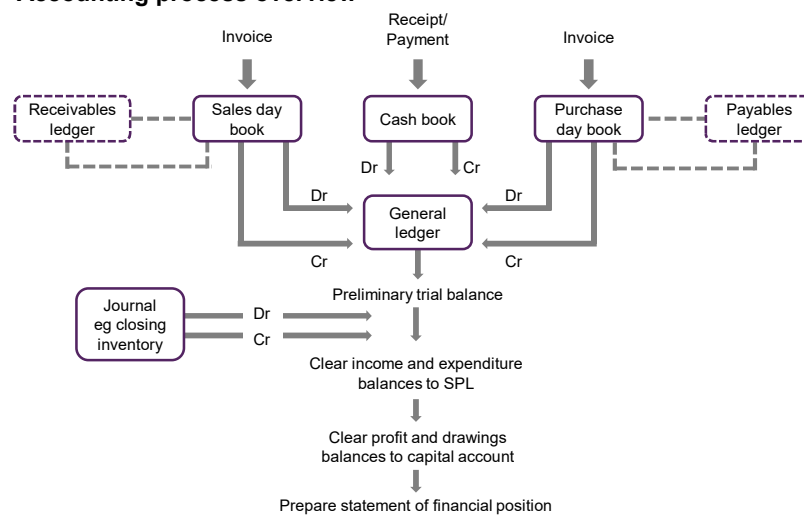
Assets = capital + (profit – drawings) + payables

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Preparing financial statements

Accounting process overview



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Tackling the exam

Exam focus point:

Practising the techniques illustrated in this chapter is essential in preparing for the FFA/F3 exam.

You are likely to get a question requiring you to calculate a figure for the statement of financial position or statement of profit or loss from a trial balance, particularly the 15 mark questions.



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Chapter summary

1 Introduction

- Once a business's transactions have been categorised in the books of prime entry and summarised in the nominal ledger accounts the next step is to extract a trial balance.

2 The trial balance

- The trial balance **consists of a list of the balances** brought down on each ledger account.



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Chapter summary

3 The statement of profit or loss

- The balances on all of the income and expenditure ledger accounts are transferred to the statement of profit or loss.
- As we will see later the statement of profit or loss will be affected by certain adjustments that will affect profit (such as closing inventory).

4 The statement of financial position

- The statement of financial position lists out the balances on all of the asset and liability ledger accounts.

